
Q.2 Answer the following short questions. (2 marks each = 20 marks)

a) Differentiate between Privatization and Nationalization

Privatization	Nationalization
Transfer of ownership from public to private sector.	Transfer of ownership from private to public (government) sector.
Aimed at increasing efficiency and reducing government burden.	Aimed at controlling vital industries and providing public welfare.
Example: PTCL privatized in Pakistan.	Example: Banks nationalized in 1974 in Pakistan.

b) What is Banker-Customer Relationship?

It refers to the legal and financial relationship between a bank and its customer. The relationship varies based on services:

- **Debtor-Creditor:** When customer deposits money.
 - **Creditor-Debtor:** When bank grants loan.
 - **Agent-Principal:** When bank pays bills or collects cheques.
 - **Trustee-Beneficiary:** When bank holds valuables.
-

c) What are causes of Inflation?

Main causes include:

1. **Demand-pull inflation** – Excess demand over supply.
 2. **Cost-push inflation** – Increase in production cost.
 3. **Increase in money supply.**
 4. **Deficit financing by government.**
 5. **Imported inflation** due to rising global prices.
-

d) Define Near Money

Near money refers to highly liquid financial assets that are not cash but can easily be converted into cash.

- Examples: Treasury bills, savings accounts, bonds.
 - Characteristics: Low risk, short-term, easily accessible.
-

e) What is Commodity Money?

Commodity money is a form of money that has intrinsic value.

- Example: Gold, silver, or any other valuable metal.
 - It was used in ancient times before paper currency.
 - Its value is based on its utility or content.
-

f) Define Letter of Credit

A **Letter of Credit (L/C)** is a document issued by a bank guaranteeing a seller's payment will be received on time and for the correct amount.

- Common in **international trade**.
 - It reduces risk between buyer and seller.
-

g) Define Mortgage Bank

A mortgage bank specializes in:

- Providing **long-term loans** secured by **real estate** (houses, land, etc.).
 - Their major income is from **mortgage interest**.
 - They don't accept regular deposits like commercial banks.
-

h) Define Credit Creation

Credit creation is the process by which commercial banks **create money** by **lending more than they receive in deposits**, using the **fractional reserve system**.

- It multiplies the money supply in the economy.
 - Key role in economic activity and investment.
-

i) What is Intrinsic Value?

Intrinsic value is the **actual worth of a commodity or asset** based on its physical content.

- Example: A gold coin's value is based on the value of gold itself.
 - **Paper money has no intrinsic value, only face value.**
-

j) Define Central Bank

A **Central Bank** is the apex financial institution of a country that controls:

- Monetary policy
 - Issues currency
 - Regulates commercial banks
 - Maintains financial stability
- Example: **State Bank of Pakistan (SBP)**
-

Q.3 Define Trade Cycle. Explain Phases of Trade Cycle (10 marks)

Definition:

A **Trade Cycle**, also called **Business Cycle**, refers to the **recurring fluctuations** in economic activity over time, including **periods of growth and decline**.

Phases of Trade Cycle:

1. **Boom / Prosperity:**
 - High production and demand
 - High investment and employment
 - Business confidence and profits rise
 - Prices may rise (inflationary pressure)
2. **Recession:**
 - Demand starts declining
 - Profits reduce
 - Investment and output decrease
 - Early signs of unemployment
3. **Depression:**
 - Severe fall in demand
 - Business closures and unemployment
 - Low wages, no investment
 - Prices fall (deflation)
4. **Recovery:**
 - Business activity slowly picks up
 - Investment and employment improve
 - Consumer confidence returns
 - Moves toward next Boom phase

Diagram of Trade Cycle (optional in exams):

A wave-shaped curve showing ups (boom) and downs (recession/depression).

Q.4 Define Money. Explain Primary and Secondary Functions of Money (10 marks)

Definition of Money:

Money is **anything that is generally accepted** as a **medium of exchange** and can be used for **buying and selling goods and services**.

Primary Functions of Money:

1. **Medium of Exchange:**
 - Money eliminates the problem of barter (double coincidence).
 - Facilitates trade in goods and services.
 2. **Measure of Value (Unit of Account):**
 - Common standard to measure value of goods/services.
 - Prices are quoted in terms of money.
-

Secondary Functions of Money:

1. **Store of Value:**
 - Money can be saved for future use.
 - Preserves purchasing power.
 2. **Standard of Deferred Payment:**
 - Useful in credit transactions.
 - Loans, salaries, installments are paid in money.
 3. **Transfer of Value:**
 - Money helps in transferring purchasing power from one person/place to another.
 - E.g., Bank transfer, cheques, online payments.
-

Conclusion:

Money is essential for the functioning of modern economies. Without it, trade and economic development would slow down.

Q.5 Define Commercial Banks. What are its Major and Minor Functions? (10 marks)

Definition:

A **Commercial Bank** is a **financial institution** that **accepts deposits** from the public and **provides loans** for profit.

Major Functions of Commercial Banks:

1. **Accepting Deposits:**
 - Savings accounts, current accounts, fixed deposits.
 - Safe custody of money for public.
 2. **Advancing Loans:**
 - Personal loans, business loans, overdrafts.
 - Earns interest on loans.
 3. **Credit Creation:**
 - Banks lend more than they have in actual cash reserves, thus increasing money supply.
 4. **Cheque Facility:**
 - Provides cheque book to account holders.
 - Used for safe payments.
 5. **Remittance Services:**
 - Fund transfers through drafts, RTGS, NEFT, etc.
-

Minor/Secondary Functions of Commercial Banks:

1. **Agency Functions:**
 - Payment of bills, collection of cheques.
 - Acting as trustee or agent.
 2. **General Utility Services:**
 - Locker facility, ATM services, mobile banking.
 - Credit cards, Forex, insurance products.
 3. **Foreign Exchange Transactions:**
 - Buying and selling of foreign currency for customers and businesses.
-

Conclusion:

Commercial banks play a **vital role in economic development** by providing funds, encouraging saving, and offering diverse financial services.

Q.2 Answer the following short questions. (2 marks each = 10 marks)

a) Define a Bank & a Customer

- **Bank:** A bank is a **financial institution** that accepts **deposits from the public**, offers **loans**, and provides financial services such as money transfers, account management, etc.
 - **Customer:** A customer is **any person or business** that maintains an account or uses banking services regularly. According to law, a person becomes a customer when they open an account with the bank.
-

b) List down Functions of Money

Primary Functions:

1. Medium of Exchange
2. Measure of Value

Secondary Functions:

3. Store of Value
 4. Standard of Deferred Payments
 5. Transfer of Value
-

c) Define Credit Creation

Credit creation is the process by which **commercial banks multiply the lending capacity** from initial deposits using the **fractional reserve system**.

Example: If a bank receives Rs. 1,000 and keeps 10% as reserve, it can lend Rs. 900. This Rs. 900 can again be deposited and loaned further. This creates multiple layers of money.

d) Define Central Bank

A **Central Bank** is the **supreme monetary authority** of a country. It:

- Issues currency
- Controls inflation and interest rates
- Supervises commercial banks

- Maintains economic stability
Example: State Bank of Pakistan (SBP)
-

e) What is Intrinsic Value?

Intrinsic value refers to the **actual worth of an item** based on its material or content.

Example: Gold coins have intrinsic value because gold has value itself. In contrast, paper currency has no intrinsic value—only face value.

Q.3 What is meant by a COMMERCIAL BANK? Discuss its Major Functions & Kinds? (10 marks)

Definition of Commercial Bank:

A **Commercial Bank** is a financial institution that **accepts deposits, grants loans, and offers banking services** to businesses and individuals with the main aim of earning profit.

Major Functions of Commercial Banks:

1. Accepting Deposits

- Core function of commercial banks
 - Types: Savings, Current, Fixed Deposit
 - **Example:** A businessman deposits daily income in a current account.
-

2. Providing Loans and Advances

- Banks provide loans for business, agriculture, and personal needs.
 - Forms: Term loans, overdrafts, cash credit
 - **Example:** A company takes a loan to purchase machinery.
-

3. Credit Creation

- By keeping a fraction of deposits as reserve, banks create credit many times more than original deposits.

4. Cheque & Draft Services

- Banks allow payment and transfer through cheques, demand drafts, etc.
- Ensures safe and easy transfer of funds.

5. Transfer of Funds

- Through RTGS, NEFT, online banking, etc., customers can transfer money instantly.

Minor Functions of Commercial Banks:

- Locker facility
- Mobile/Internet banking
- Utility bill payments
- Foreign exchange dealing
- Investment services

Kinds of Commercial Banks:

1. **Public Sector Banks:** Owned by government (e.g., National Bank of Pakistan)
2. **Private Sector Banks:** Owned by individuals or corporations (e.g., UBL, HBL)
3. **Foreign Banks:** Operate in Pakistan but based abroad (e.g., Standard Chartered)
4. **Islamic Banks:** Operate under Islamic principles (e.g., Meezan Bank)

Conclusion:

Commercial banks play a **backbone role in financial development**, business expansion, and economic growth.

Q.4 Write a note on PRIVATIZATION & NATIONALIZATION of Banking in Pakistan. (10 marks)

1. Nationalization of Banks in Pakistan:

Definition:

Nationalization is when **government takes control** of private banks to serve public welfare.

Background:

- In **1974**, Prime Minister **Zulfikar Ali Bhutto** nationalized **all commercial banks**.
- Purpose: Social justice, economic planning, reduce concentration of wealth.

Reasons for Nationalization:

- Provide banking in rural areas
- Direct credit to agriculture and industry
- Reduce exploitation by private owners

Outcomes:

- Expansion of banking network
 - Government control increased
 - Efficiency declined due to political appointments
-

2. Privatization of Banks in Pakistan:

Definition:

Privatization is the process of **transferring state-owned enterprises** to the **private sector**.

Started in 1990s:

- Led by **Prime Minister Nawaz Sharif's government** and continued in Musharraf's era.
- Banks like **MCB, UBL, HBL** were privatized.

Reasons for Privatization:

- Improve efficiency and service
- Reduce government burden
- Promote competition

Outcomes:

- Modern banking services improved
 - ATMs, online banking introduced
 - Better customer service
-

Conclusion:

Privatization improved banking **efficiency and innovation**, while nationalization helped in **financial inclusion** during early development.

Q.5 What do you understand by ISLAMIC BANKING & Discuss its Mode of Finance. (10 marks)

Definition of Islamic Banking:

Islamic banking is a **Shariah-compliant banking system** which operates without interest (Riba). All transactions must be based on **profit and risk sharing**, asset-backed finance, and ethical investment.

Key Principles of Islamic Banking:

1. **No Interest (Riba)**
 2. **Profit and Loss Sharing**
 3. **No Investment in Haram Activities (e.g., alcohol, gambling)**
 4. **Real asset-based transactions**
-

Modes of Finance in Islamic Banking:

1. Murabaha (Cost Plus Profit Sale):

- Bank buys a good and sells to the customer at a fixed profit.
 - Example: Bank purchases a car for Rs. 1 million and sells to customer for Rs. 1.2 million, payable in installments.
-

2. Ijara (Leasing):

- Bank buys an asset and leases it to the customer.
 - Customer pays rent; ownership remains with bank.
 - Example: Renting machinery for a factory.
-

3. Mudarabah (Profit Sharing):

- One party (bank) provides capital, other provides expertise.
 - Profits shared as per agreed ratio; loss borne by financier.
-

4. Musharakah (Joint Venture):

- Both bank and client invest capital.
 - Profits shared as per agreement; losses according to share.
-

5. Salam and Istisna (Advance Purchase Contracts):

- Used in agriculture and manufacturing.
 - Bank pays in advance, goods delivered later.
-

6. Takaful (Islamic Insurance):

- Cooperative system of protection.
 - Participants contribute to a fund used to support each other in need.
-

Example – Meezan Bank (Pakistan's Leading Islamic Bank):

Offers Murabaha car financing, home financing via Diminishing Musharakah, and business financing through Mudarabah.

Conclusion:

Islamic banking is growing rapidly in Pakistan due to its **ethical model** and **religious compliance**. It supports economic growth while avoiding interest-based exploitation.

1. Define Bank:

A bank is a financial institution that accepts deposits, provides loans, and offers other financial services like money transfers, foreign exchange, and safekeeping of valuables.

2. Define Fiat Money:

Fiat money is currency that has no intrinsic value but is accepted as legal tender by government decree.

Example: Pakistani Rupee.

3. Define Barter Trade:

Barter trade is the **exchange of goods for goods** without the use of money.

Example: Exchanging wheat for cloth.

4. Differentiate between Deflation and Stagflation:

Deflation	Stagflation
Fall in general price level.	Inflation + stagnant economic growth + high unemployment.
Usually due to low demand.	Due to supply shocks or policy failures.

5. Enlist Methods Used by SBP for Issuance of Currency Note:

- **Monetization of debt**
 - **Printing currency based on need**
 - **Maintaining reserve ratio (gold + forex + securities)**
 - **Controlled by Currency Management Department (CMD)**
-

6. Define Current Account and PLS Account:

- **Current Account:** Non-interest-bearing account for frequent transactions, mainly used by businesses.
 - **PLS Account:** Interest-free account based on Islamic principles; profit or loss is shared between bank and customer.
-

7. What is Investment Bank?

An investment bank is a financial institution that helps companies raise capital, provides merger & acquisition advisory, and deals in securities—does **not accept public deposits**.

Example: Goldman Sachs.

8. What is Intrinsic Value?

Intrinsic value is the real value of an item based on its material content.

Example: A gold coin has intrinsic value because gold has value by itself.

9. List down Functions of Money:

Primary:

1. Medium of exchange
2. Unit of account

Secondary:

3. Store of value
 4. Standard of deferred payment
 5. Transfer of value
-

10. What is International Bank for Reconstruction and Development (IBRD)?

IBRD, part of the **World Bank Group**, provides long-term loans to developing countries for infrastructure, education, and poverty reduction.

Also known as the **World Bank**.

Long Questions (10 × 3 = 30 Marks)

Q.1: Explain Quantity Theory of Money. Discuss its assumptions and criticisms.

Definition:

The **Quantity Theory of Money (QTM)** states that the general **price level** is directly proportional to the **quantity of money** in the economy.

Classical Equation (Fisher's Version):

$$MV = PT$$

- **M** = Money supply
- **V** = Velocity of money
- **P** = Price level
- **T** = Volume of transactions

Cambridge Version (Cash Balance Approach):

$$M = kPY$$

- **k** = Part of income people want to hold
- **Y** = National income

Assumptions of QTM:

1. **V (velocity)** is constant.
2. **T (output)** is constant in the short run.
3. Economy is at **full employment**.
4. Money is **only used as medium of exchange**.
5. No time lags between change in money supply and price level.

Criticisms by Modern Economists:

1. **V is not constant:** Changes with technology and habits.
2. **T is not fixed:** Output can rise with increased demand.
3. **Ignored saving and investment:** Doesn't explain monetary effects on interest rate.
4. **One-sided theory:** Focuses only on money, ignores real variables.

Conclusion:

QTM is useful for understanding **long-term inflation**, but its **simplistic assumptions** make it less effective in the modern economy. Keynesians gave a broader view by linking money supply with interest rate and output.

Q.2: Discuss in detail the various types of Letter of Credit (L/C). Also highlight its importance.

Definition:

A **Letter of Credit (L/C)** is a written guarantee from a **bank**, on behalf of a buyer, promising payment to the seller upon fulfillment of specified conditions.

Types of Letter of Credit:

1. **Revocable L/C:**
 - Can be changed or canceled by buyer without notice.
 - Less secure for the seller.
 2. **Irrevocable L/C:**
 - Cannot be changed without consent of all parties.
 - Most commonly used in international trade.
 3. **Confirmed L/C:**
 - Confirmed by a second bank (usually in seller's country).
 - More reliable and secure.
 4. **Unconfirmed L/C:**
 - Only the issuing bank is responsible.
 - Used when seller trusts buyer's bank.
 5. **Sight L/C:**
 - Payment made immediately after documents are verified.
 6. **Usance L/C (Time L/C):**
 - Payment made after a specified time period.
 7. **Transferable L/C:**
 - Can be transferred to a third party.
 - Useful for middlemen or brokers.
 8. **Back-to-Back L/C:**
 - Two L/Cs issued: one from buyer to broker and another from broker to actual seller.
-

Importance of Letter of Credit:

1. **Trust and Security:** Reduces risk of non-payment.
2. **Legal Protection:** All terms are legally enforceable.
3. **Facilitates Global Trade:** Especially useful in cross-border deals.
4. **Assures Timely Payment:** Seller gets guaranteed payment if conditions are fulfilled.



Conclusion:

Letter of Credit is essential in **international trade**, offering **trust, financial security, and risk minimization** for both buyer and seller.

Q.3: Define Islamic Banking. Discuss various financing modes of Islamic Banking.



Definition:

Islamic banking is a banking system **based on Shariah (Islamic law)**, which **prohibits interest (Riba)** and promotes **ethical and asset-backed finance**.



Key Features of Islamic Banking:

- No interest-based transactions
 - Profit and loss sharing
 - Real asset involvement
 - Ethical investment only
-



Modes of Islamic Financing:

1. Murabaha (Cost Plus Profit Sale):

- Bank buys goods and sells to customer at profit.
 - Fixed return, but not interest.
Example: Bank buys car for Rs. 1 million and sells for Rs. 1.2 million.
-

2. Mudarabah (Profit Sharing):

- One party (bank) provides capital; other party provides expertise.
 - Profits shared; losses borne by investor.
-

3. Musharakah (Joint Venture):

- Both bank and client contribute capital.
 - Profits shared as agreed; losses as per capital contribution.
- Used in:** Business partnerships.
-

4. Ijara (Leasing):

- Bank purchases asset and leases it to client.
 - Client pays rent; ownership remains with bank.
-

5. Diminishing Musharakah (Home Financing):

- Bank and customer jointly purchase property.
 - Customer gradually buys out bank's share.
-

6. Salam and Istisna:

- **Salam:** Advance payment for future delivery (used in agriculture).
 - **Istisna:** For customized items (used in manufacturing or construction).
-

Benefits of Islamic Banking:

- Ethical finance system
 - Promotes fairness and risk-sharing
 - No exploitation through interest
 - Helps in financial inclusion in Muslim countries
-

Conclusion:

Islamic banking is a rapidly growing segment globally and especially in Pakistan. It ensures **social justice, transparency, and Shariah compliance** in financial dealings.

✓ Q#2: Write short note on the following: (5 + 5 = 10 marks)

(c) Quantity Theory of Money & its Impact on Money's Value

Definition:

The **Quantity Theory of Money (QTM)** states that **price levels** in an economy are directly related to the **quantity of money** in circulation.

Formula:

$$MV = PT$$

- **M** = Money supply
- **V** = Velocity of money
- **P** = Price level
- **T** = Transactions/output

Impact on Money's Value:

- When **money supply increases** without an increase in output, **price levels rise**, and the **value of money falls (inflation)**.
- If money supply remains constant but production increases, prices fall and **money gains value (deflation)**.

Conclusion:

QTM shows that **too much money in circulation reduces the purchasing power** of money.

(d) Inflation & Its Kinds

Definition:

Inflation is the **persistent rise in the general price level** of goods and services over time, leading to a **decrease in the purchasing power** of money.

Kinds of Inflation:

1. **Demand-Pull Inflation:**
 - Caused by high demand and low supply.
 - Example: Sudden increase in consumer spending.
2. **Cost-Push Inflation:**
 - Due to increase in production costs (wages, raw materials).
 - Passed on to consumers.
3. **Built-in Inflation:**

- Wage-price spiral: Higher wages → higher prices → more wage demands.
 - 4. **Hyperinflation:**
 - Extremely rapid and uncontrolled inflation.
 - Example: Zimbabwe (2008)
 - 5. **Creeping Inflation:**
 - Low and manageable inflation (up to 3%).
-

✓ Q#3: Write short note on the following: (5 + 5 = 10 marks)

(c) Islamic Development Bank (IsDB) & Its Role

Definition:

The **Islamic Development Bank (IsDB)** is a **multilateral development bank** established in 1975 by OIC member countries. Its objective is to **foster economic development and social progress** in member countries based on **Shariah principles**.

Role in Economic Development:

1. **Project Financing:**
 - Infrastructure, health, education, and agriculture.
 2. **Interest-Free Loans (Qard-e-Hasan):**
 - To support social welfare projects in poor member states.
 3. **Capacity Building:**
 - Technical assistance, training, and scholarships.
 4. **Trade Promotion:**
 - Facilitates trade among Islamic countries.
 5. **Islamic Financial Development:**
 - Promotes Islamic finance tools like Sukuk, Murabaha.
-

(d) Cash Balance Theory of Money & Its Impact

Definition:

The **Cash Balance Approach** is a **modern version** of QTM developed by Cambridge economists (Marshall, Pigou, Keynes). It focuses on **money held for transactions and precaution**.

Formula:

$$M = kPY$$

- **k** = Proportion of income people hold as cash
 - **P** = Price level
 - **Y** = Real income
-

Impact on Economy:

- If **k increases**, people hold more cash → less spending → economic slowdown.
 - If **k decreases**, people spend more → boosts economic activity.
 - Useful to explain **liquidity preference and saving behavior**.
-

✓ Q#4: Write short note on the following: (5 marks each = 20 marks)

(a) Evolution of Banks

Early Stage:

- Originated in Babylon and Mesopotamia – goldsmiths kept valuables.

Medieval Period:

- Italian banks like **Medici Bank** emerged in Europe (14th century).

Modern Banking:

- Central and commercial banks developed in 17th-18th century.
- **Bank of England** (1694) and others led to organized banking systems.

In Pakistan:

- First bank: Habib Bank (1941), National Bank (1949)
 - State Bank of Pakistan established in 1948.
-

(b) Inflation & Its Kinds

(Answered above in Q#2-d)

(c) Asian Development Bank (ADB)

Definition:

Established in 1966, headquartered in **Manila, Philippines**, ADB provides **financial and technical assistance** to Asian and Pacific countries to promote development.

Functions of ADB:

1. **Loans & Grants** for infrastructure, health, and education.
2. **Poverty reduction** and sustainable growth.
3. **Disaster assistance** and emergency response.
4. **Private sector development.**
5. Promotes **regional cooperation.**

Pakistan Example:

- ADB funded **energy, road, and education projects** in Pakistan.
-

(d) Cash Balance Theory of Money

(Answered above in Q#3-d)

 **Q#5: Write down brief answers of the following: (5 + 5 = 10 marks)**

(a) What is meant by Current, PLS & Term Deposit Account?

1. **Current Account:**
 - No interest paid.
 - Used for daily transactions by businesses.
 - Offers cheque book, overdraft facility.
 2. **PLS (Profit and Loss Sharing) Account:**
 - Based on Islamic principles (no interest).
 - Bank shares profit/loss with account holder.
 - Example: Meezan Bank's saving accounts.
 3. **Term Deposit Account (Fixed Deposit):**
 - Money is deposited for a fixed period (e.g., 1 year).
 - Higher profit/interest compared to savings account.
 - Withdrawal before maturity may incur penalties.
-

(b) International Monetary System & IBRD

International Monetary System:

A set of rules, institutions, and agreements that govern international financial relations and currency exchange between nations.

- Institutions include IMF, IBRD, WTO.
 - Promotes **stability, trade, and development**.
-

IBRD (International Bank for Reconstruction & Development):

- A branch of the **World Bank**, established in 1944.
 - Provides **long-term loans** for reconstruction and development projects.
 - Supports **infrastructure, health, education** in developing countries.
 - **Example:** IBRD financed the **Dasu Hydropower Project** in Pakistan.
-

20

Q.2: Answer the following short questions (10 × 2 = 20 marks)

1. Income Inflation

Income inflation occurs when **income levels rise faster than the supply of goods and services**, leading to **increased demand** and hence **higher prices**.

→ A cause of **demand-pull inflation**.

2. Overdraft

An overdraft is a **short-term loan facility** given by a bank that allows a customer to withdraw **more money than available in their account**, up to a pre-approved limit.

→ Usually offered on **current accounts**.

3. Running Finance

Running finance is a **revolving credit facility** provided to businesses by banks, where a borrower can **withdraw and deposit money multiple times** within the credit limit.

→ Often secured by inventory or receivables.

4. Consumer Finance

Consumer finance refers to **loans and credit facilities** provided to individuals for **personal use**, such as home appliances, education, marriage, or travel.

→ Includes **credit cards, auto loans, and personal loans**.

5. Discount of Bill

When a bank **purchases a bill of exchange** (before maturity) at a price lower than its face value, it is called **discounting the bill**.

→ The difference is the **bank's profit (discount)**.

6. PLS Saving Accounts

A **PLS (Profit and Loss Sharing) Savings Account** operates under **Islamic banking principles**. Instead of interest, customers earn a share in the bank's profit.

→ Offered by Islamic banks like **Meezan Bank**.

7. Promissory Note

A **promissory note** is a **written legal document** in which one party promises to pay a certain sum to another party at a future date.

→ Contains date, amount, and signature.

8. Commercial Banks

Commercial banks are **financial institutions** that accept deposits, provide loans, and offer services like fund transfer, foreign exchange, and safe deposits for **profit-making**.

→ Example: **HBL, UBL, MCB**.

9. Fixed Deposit Accounts

A **Fixed Deposit Account** involves depositing a sum of money with the bank for a **fixed period**, earning **higher interest/profit** than savings accounts.

→ Cannot withdraw before maturity without penalty.

10. Investment Theory of Trade Cycle

This theory suggests that **fluctuations in investment** (especially capital goods investment) are the **primary cause** of the trade cycle.

→ When investment rises → expansion;

→ When investment falls → recession.

✓ Q.3: Long Questions (3 × 10 = 30 marks)

Q.3.1: Explain the Functions of the Central Bank

Definition:

A **Central Bank** is the top monetary authority of a country that manages currency issuance, controls inflation, supervises commercial banks, and formulates monetary policy.

Example: State Bank of Pakistan (SBP)

✓ Functions of Central Bank:

1. Issue of Currency Notes

- Central bank has the **exclusive authority** to issue legal tender.
 - Ensures standardization and avoids counterfeit currency.
-

2. Custodian of Cash Reserves

- Keeps **reserves of commercial banks**.
- Ensures liquidity and stability in the banking system.

3. Lender of Last Resort

- Provides emergency funds to commercial banks during **financial crises**.

4. Controller of Credit

- Uses **monetary policy tools** (e.g., CRR, SLR, open market operations) to control money supply and inflation.

5. Government's Banker and Debt Manager

- Maintains **government accounts**, handles **public debt**, and manages borrowing through bonds.

6. Foreign Exchange Management

- Manages **foreign currency reserves** and maintains exchange rate stability.

7. Supervision and Regulation of Banks

- Issues banking licenses
- Audits banks
- Ensures adherence to rules and solvency.

8. Monetary Policy Implementation

- Controls interest rates, inflation, and credit to ensure stable economic growth.



Conclusion:

Central Bank plays a vital role in ensuring **financial stability, economic development, and public confidence** in the financial system.

Q.3.2: Discuss the Step-by-Step Procedure of Opening and Functioning of Letter of Credit (L/C)

Definition of Letter of Credit (L/C):

A **Letter of Credit** is a **written guarantee from a bank**, on behalf of a buyer, to pay the seller a specified amount upon fulfilling pre-defined conditions in trade, especially **international trade**.

Procedure of Opening and Using L/C:

Step 1: Buyer & Seller Agreement

- Buyer and seller agree to use L/C as the mode of payment.
 - Contract includes product details, amount, shipping date.
-

Step 2: Buyer Requests L/C

- Buyer applies to their bank (Issuing Bank) to open L/C in favor of seller.
-

Step 3: Bank Issues L/C

- Issuing bank creates the Letter of Credit.
 - Sends it to seller's bank (Advising Bank).
-

Step 4: Seller Ships Goods

- Seller ships the goods and prepares documents (invoice, bill of lading, insurance, etc.)
-

Step 5: Presentation of Documents

- Seller presents required documents to Advising/Negotiating Bank.
-

Step 6: Document Verification

- Bank verifies the documents.
 - If compliant, seller receives payment.
-

Step 7: Settlement

- Issuing bank reimburses Advising Bank.
 - Buyer repays issuing bank.
-

Importance of L/C:

- Builds **trust in international trade**
 - Reduces **risk of non-payment**
 - Assures seller of **guaranteed payment**
-

Q.3.3: What are the Different Types of Money? Explain with Sub-Types

Definition of Money:

Money is **anything that is generally accepted** as a medium of exchange, unit of account, store of value, and standard of deferred payment.

Types of Money and Their Sub-Types:

1. Commodity Money

- Money with **intrinsic value** (value in itself).
 - **Examples:** Gold, silver, salt.
 - Used in ancient times.
-

2. Fiat Money

- Declared as **legal tender by the government**, has **no intrinsic value**.
- **Examples:** Paper currency like Pakistani Rupee.

3. Fiduciary Money

- Money issued on **trust** (not backed by physical reserves).
- Includes **cheques, demand drafts, etc.**

4. Commercial Bank Money

- Created through **credit creation** by banks.
- **Examples:** Deposits, loans, digital money.

5. Near Money

- Not money itself but **can be quickly converted** into cash.
- **Examples:** Treasury bills, bonds, savings certificates.

6. Plastic Money

- Represents digital form of money.
- **Examples:** Credit cards, debit cards.

7. Electronic / Digital Money

- Money stored in digital form.
- Used in **e-banking, mobile apps, online shopping.**
- **Examples:** JazzCash, Easypaisa, PayPal.



Conclusion:

Money has evolved from **gold coins to digital currency**, but its core functions remain the same: **exchange, store of value, and measurement of value.**

✓ Q.2: Write short notes on the following

1. Inflation & Its Kinds

Definition:

Inflation is a **sustained rise in the general price level** of goods and services over time, reducing the **purchasing power** of money.

✓ Types/Kinds of Inflation:

a) Demand-Pull Inflation:

When aggregate demand exceeds supply.

→ E.g., Increase in consumer spending due to low interest rates.

b) Cost-Push Inflation:

Caused by rising production costs (wages, raw materials).

→ E.g., Oil price hike increases transport & product costs.

c) Built-In Inflation:

When businesses raise prices to keep up with rising wages.

d) Creeping Inflation:

Mild and gradual (1–3% annually).

→ Considered normal.

e) Hyperinflation:

Extremely rapid (e.g., over 50% per month).

→ E.g., Zimbabwe, Venezuela.

f) Stagflation:

Inflation + stagnation (high unemployment + rising prices).

2. Cash Balance Theory of Money

Definition:

This theory (developed by Cambridge economists like **Marshall, Pigou**) states that **money is demanded** not just for spending but to **hold cash balances** for future use.

Formula:

$$M = kPY$$

Where:

- M = Money supply
 - k = Propensity to hold money
 - P = Price level
 - Y = Income/output
-

Key Points:

- Focuses on **demand for money** as a stock, not flow.
 - Explains **why people hold money**: for precaution, transactions, and speculation.
-

Example:

A salaried person holds cash in hand to cover 15 days of daily expenses — not to spend all at once, but for convenience.

3. Qualities of Good Money Material

Qualities:

1. **Durability:** Must not deteriorate over time (e.g., metal coins).
2. **Portability:** Easy to carry (e.g., currency notes, debit cards).
3. **Divisibility:** Can be divided into small units (e.g., Rs.1, Rs.2).
4. **Uniformity:** All units must be identical in value.

5. **Recognizability:** Should be easily identifiable and hard to counterfeit.
 6. **Stability of Value:** Value should not fluctuate frequently.
 7. **Acceptability:** Universally accepted as medium of exchange.
 8. **Liquidity:** Easily used for transactions without loss of value.
-

Example:

Gold was historically used as money due to its **durability, value, and divisibility**.

4. Different Kinds of Advances

Definition:

Advance is a short-term **credit facility provided by banks** to borrowers, repayable within a year.

Types of Advances:

1. Loans:

A fixed amount lent for a fixed period.
→ E.g., Rs.500,000 loan for 3 years.

2. Overdraft:

Customer allowed to withdraw more than balance in account.

3. Cash Credit:

Credit limit sanctioned against security like stock or receivables.

4. Bill Discounting:

Bank buys a bill before maturity at a discounted value.

5. Term Loans:

Medium to long-term loans (1 to 10 years).

6. Consumer Advances:

For buying vehicles, appliances, education, etc.

✓ Long Questions

🌐 Q.1: Critically Examine the Quantity Theory of Money

📖 Definition:

The **Quantity Theory of Money (QTM)** states that **price level is directly proportional to money supply**, assuming constant velocity and output.

✓ Equation (Fisher's Version):

$$MV = PT$$

Where:

- M = Money Supply
 - V = Velocity of Money
 - P = Price Level
 - T = Transactions/Output
-

🔍 Assumptions:

- V and T are constant
 - M is the only factor that affects P
-

✓ Criticism:

1. **Unrealistic Assumptions:** V and T can change due to innovation or production changes.
2. **Ignores Demand Side:** Doesn't consider demand for money or spending behavior.
3. **Fails During Recession:** Increasing money may not raise prices due to low demand.
4. **No Role for Interest Rates:** Ignores influence of interest rate on money demand.

Example:

During COVID-19, governments increased money supply, but due to low consumer demand, **inflation did not rise immediately**.

Conclusion:

QTM is **simple and foundational**, but not fully applicable in modern complex economies. Modern theories (Keynesian) include income, interest, and expectations.

Q.2: What are the Functions of State Bank of Pakistan?

Definition:

The **State Bank of Pakistan (SBP)** is the **central bank** of Pakistan, responsible for **monetary policy**, issuing currency, and regulating banks.

Main Functions:

1. Currency Issuer

- Sole authority to issue legal tender in Pakistan.
-

2. Monetary Policy Formulation

- Controls inflation and money supply via policy rate, OMO, CRR.
-

3. Regulation of Banks

- Supervises and audits commercial banks.
 - Issues licenses and ensures compliance.
-

4. Government's Banker

- Manages government accounts and debt instruments.
-

5. Lender of Last Resort

- Provides emergency loans to banks facing liquidity crises.
-

6. Exchange Rate & Reserves Management

- Stabilizes exchange rate and maintains foreign reserves.
-

7. Promotes Financial Inclusion

- Encourages banking access in rural areas through **Digital Banking Initiatives**.
-

8. Islamic Banking Development

- Develops and promotes **Shariah-compliant banking**.
-

Example:

In 2023, SBP raised interest rates to combat inflation and stabilize the rupee.

Q.3: Define Letter of Credit. What are Its Different Kinds?

Definition:

A **Letter of Credit (L/C)** is a **guarantee from a bank** that a seller will receive payment if the terms and conditions are fulfilled, mostly used in **international trade**.

✓ Parties Involved:

- Applicant (Buyer)
 - Beneficiary (Seller)
 - Issuing Bank
 - Advising Bank
-

✓ Types of Letter of Credit:

1. Revocable L/C

- Can be cancelled/changed without consent of seller.
-

2. Irrevocable L/C

- Cannot be cancelled without agreement of all parties.
-

3. Confirmed L/C

- A second bank adds its guarantee along with issuing bank.
-

4. Unconfirmed L/C

- No secondary guarantee.
-

5. Sight L/C

- Payment made when documents are presented.
-

6. Usance/Deferred L/C

- Payment is made **after a fixed period** post shipment (30/60/90 days).
-

7. Transferable L/C

- Beneficiary can transfer the credit to another party.
-

8. Standby L/C

- Used as a **backup guarantee** in case the buyer defaults.
-



Conclusion:

Letter of Credit provides **security and confidence** in international trade, protecting both exporter and importer.



Q.1: Answer the following short questions. (6×5 = 30 marks)

1. Discuss the features of a Saving Account

A **Saving Account** is a basic bank account that encourages people to **save money** while earning some interest.

Key Features:

1. **Interest Earning:**
 - Provides low but regular interest (2–6%).
2. **Safety of Funds:**
 - Money is secured and insured in the bank.
3. **Withdrawals Allowed:**
 - Limited withdrawals per month, sometimes via ATM/debit card.
4. **Passbook/Statement:**
 - Customer receives transaction records regularly.
5. **Minimum Balance Requirement:**
 - Banks may require a small balance to keep the account active.
6. **Electronic Banking:**
 - Online, mobile banking access provided.

2. Explain Deflation

Definition:

Deflation is the **general decrease in prices of goods and services** over a period of time, increasing the **real value of money**.

Causes:

- Reduced consumer demand
 - Oversupply of goods
 - Fall in money supply
 - High interest rates
-

Effects:

- Increased value of money
 - Lower profits for businesses
 - High unemployment due to reduced production
-

Example:

During the **Great Depression (1930s)**, prices of goods fell drastically, causing economic slowdown.

3. Elaborate Trade Cycle

Definition:

The **Trade Cycle** or **Business Cycle** is the **repetitive pattern of economic expansion and contraction** over time.

Phases of Trade Cycle:

1. **Boom/Expansion:**
 - High growth, employment, investment, demand
 2. **Peak:**
 - Highest point; economy at full capacity
 3. **Recession:**
 - Demand falls, profits decline, unemployment rises
 4. **Depression:**
 - Prolonged recession, very low economic activity
 5. **Recovery:**
 - Economy starts growing again, investments rise
-

Example:

COVID-19 lockdowns caused a **recession**, but economies recovered in 2021–22.

4. Discuss Banker-Customer Relationship (Briefly)

The relationship between a **banker** and a **customer** is both **contractual and fiduciary**, based on trust and law.

Key Types of Relationships:

1. **Debtor-Creditor:**
 - When customer deposits money, bank becomes debtor.
 2. **Creditor-Debtor:**
 - When bank gives a loan, customer becomes debtor.
 3. **Agent-Principal:**
 - Bank acts as agent for payment/collection.
 4. **Trustee-Beneficiary:**
 - Bank may hold assets in trust for customers.
-

5. Define and Explain Hypothecation

Definition:

Hypothecation is a **credit arrangement** where the borrower pledges movable assets (e.g., stock, vehicle) as **security, without transferring possession** to the lender.

Key Points:

- Common in vehicle loans, inventory financing
 - Bank has right to seize goods if default occurs
 - Ownership remains with the borrower
 - Used for working capital loans
-

Example:

A business borrows money against **inventory**, but still uses the goods in daily operations.

6. List down tools of Monetary Policy by Central Bank

Definition:

Monetary policy tools are instruments used by the **central bank (State Bank of Pakistan)** to control inflation, interest rates, and money supply.

Tools of Monetary Policy:

1. **Open Market Operations (OMO):**
 - Buying/selling government securities.
 2. **Bank Rate / Policy Rate:**
 - Interest rate at which SBP lends to banks.
 3. **Cash Reserve Ratio (CRR):**
 - Portion of deposits banks must hold with SBP.
 4. **Statutory Liquidity Ratio (SLR):**
 - Minimum amount banks must keep in liquid form.
 5. **Moral Suasion:**
 - Persuading banks to follow certain policies.
 6. **Credit Rationing:**
 - Controlling volume or purpose of loans.
-

✓ Q.2: Answer the following questions ($2 \times 15 = 30$ marks)

🌐 i. Discuss in detail the Functions of a Commercial Bank

Definition:

A **Commercial Bank** is a financial institution that **accepts deposits, grants loans**, and offers various **financial services** to individuals, businesses, and governments.

✓ Main Functions of a Commercial Bank:

1. Accepting Deposits

- From individuals and businesses
 - Types: Saving, Current, Fixed deposits
-

2. Providing Loans & Advances

- Personal loans, business loans, credit cards
 - Secured (against collateral) or unsecured
-

3. Credit Creation

- Banks create money by lending more than their actual reserves
 - Increases money supply in the economy
-

4. Agency Functions

- Bill payment, fund transfer, standing instructions
 - Acts on behalf of the customer
-

5. General Utility Services

- Safe deposit lockers
 - Foreign exchange services
 - Online and mobile banking
-

6. Discounting Bills of Exchange

- Purchase of bills before maturity at a discount
 - Helps businesses get quick funds
-

7. Clearing and Settlement

- Transfers funds between banks
 - Works with clearing houses
-

8. Foreign Trade Financing

- Issues Letter of Credit
 - Helps in international trade
-

Example:

UBL or HBL provides SME loans, accepts deposits, offers mobile banking & remittance services.

Conclusion:

Commercial banks play a **vital role in economic growth** by mobilizing savings, creating credit, and supporting business activity.

ii. Explain the Kinds of Banks with Examples Where Necessary

✓ 1. Commercial Banks

- Deal with public deposits & lending
 - E.g., HBL, UBL, MCB
-

✓ 2. Central Bank

- Controls monetary policy, currency, and bank regulation
 - E.g., State Bank of Pakistan (SBP)
-

✓ 3. Industrial/Development Banks

- Provide long-term loans to industries and infrastructure
 - E.g., IDBP (Industrial Development Bank of Pakistan)
-

✓ 4. Agricultural Banks

- Finance farmers, crops, and rural development
 - E.g., ZTBL (Zarai Taraqati Bank Limited)
-

✓ 5. Cooperative Banks

- Owned by members, serve rural and semi-urban areas
 - Provide small loans to farmers or small traders
-

✓ 6. Investment Banks

- Help companies raise capital (issue shares/bonds), provide advisory
 - E.g., JS Global Capital Ltd
-

✓ 7. Islamic Banks

- Follow **Shariah principles** (no interest), use profit-sharing
- E.g., Meezan Bank, Al Baraka Bank

✓ 8. Microfinance Banks

- Provide small loans to low-income individuals
- E.g., Khushhali Bank, U-Microfinance Bank

✓ 9. Foreign Banks

- Operate in Pakistan but based abroad
- E.g., Standard Chartered Bank

Conclusion:

Different banks serve different sectors of the economy. A **diverse banking system** ensures access to finance for individuals, industries, agriculture, and small businesses.

2023

✓ Q.1: Answer the following short questions (6 × 5 = 30 marks)

i. What is Leasing? What are the differences between Operating Lease and Financial Lease?

Leasing:

Leasing is a **contractual agreement** where the **owner (lessor)** allows another party (lessee) to **use an asset** (e.g., machinery, car) for a **specific period and rent**, without transferring ownership.

Difference between Operating Lease vs. Financial Lease:

Basis	Operating Lease	Financial Lease
Ownership	Remains with lessor	May transfer to lessee after lease
Duration	Short-term	Long-term (major portion of asset life)
Maintenance	Done by lessor	Done by lessee
Transfer Option	No transfer of ownership	Option to transfer at end of term
Balance Sheet Impact	Often off-balance sheet	Appears on balance sheet

ii. Differentiate between:

a) Revocable Letter of Credit vs. Irrevocable Letter of Credit

Basis	Revocable LC	Irrevocable LC
Amendment/Cancellation	Can be modified/canceled anytime	Cannot be changed without all parties' consent
Risk to Seller	High risk	Low risk
Legal Assurance	No guarantee	Full legal protection
Usage	Rare	Most commonly used today

b) Sight LC vs. Deferred LC

Basis	Sight Letter of Credit	Deferred Letter of Credit
Payment Time	Immediate payment on presentation	Payment after a specific time (e.g. 60 days)
Cash Flow	Quick for exporter	Delayed payment
Risk	Lower risk	Slightly higher risk
Usage	Short-term trade	Long-term contracts

iii. Discuss any four Islamic Modes of Financing used by banks in Pakistan

1. Murabaha (Cost-Plus Financing):

- Bank purchases a good and sells it to the customer with a known profit margin.
 *Example:* Financing of machinery.
-

2. Ijara (Leasing):

- Asset is leased by bank to client for a rent. Ownership remains with bank.
 *Example:* Vehicle leasing.
-

3. Mudarabah (Profit-Sharing):

- One party provides capital; other provides skills. Profit is shared; loss borne by investor.
 *Example:* Islamic mutual funds.
-

4. Musharakah (Partnership):

- Both parties invest and share profit/loss as per agreement.
 *Example:* Joint business venture.
-

iv. Define Trade Cycle. Briefly discuss its four phases.

Trade Cycle (Business Cycle):

It refers to the **regular ups and downs in economic activity** over a period, including fluctuations in GDP, employment, investment.

Four Phases of Trade Cycle:

1. **Boom/Expansion:**
 - High demand, production, profits, and employment.
2. **Peak:**
 - Maximum growth, inflationary pressure builds.

3. **Recession:**
 - Demand drops, production slows, unemployment rises.
4. **Recovery:**
 - Demand improves, investment restarts, economy grows again.

v. Differentiate between Deflation and Hyperinflation

Basis	Deflation	Hyperinflation
Definition	Persistent fall in prices	Extremely rapid rise in prices
Effect on Money	Value increases	Value decreases drastically
Purchasing Power	Increases	Falls sharply
Example	Great Depression (1930s)	Germany (1920s), Zimbabwe (2000s)

vi. Differences between Current, PLS, and Term Deposit Accounts

Account Type	Current Account	PLS Account (Profit & Loss Sharing)	Term Deposit Account
Nature	For daily transactions	Islamic alternative to saving	Fixed deposit for fixed term
Profit	No profit paid	Profit paid based on bank's profit	Higher profit, fixed duration
Withdrawal	Unlimited	Limited/monthly allowed	Locked until maturity
Who Uses It	Businesses, firms	Individuals & salaried persons	Long-term savers

☒ **Q.2: Answer the following questions (2 × 15 = 30 marks)**

i. What is Central Banking? Discuss the functions of a Central Bank.

Definition:

A **Central Bank** is the apex financial institution of a country that **regulates money supply, controls credit, issues currency, and supervises the banking system.**

📌 In Pakistan, the **State Bank of Pakistan (SBP)** is the Central Bank.

✓ Functions of Central Bank:

1. Issuance of Currency:

- Sole authority to print and issue legal currency notes.
-

2. Monetary Policy Formulation:

- Controls inflation and money supply using tools like:
 - Policy Rate
 - CRR, SLR
 - Open Market Operations
-

3. Bankers' Bank:

- Maintains cash reserves of commercial banks.
 - Provides emergency funding (lender of last resort).
-

4. Foreign Exchange Management:

- Regulates currency exchange rates.
 - Maintains foreign reserves and stabilizes Rupee.
-

5. Government's Banker:

- Manages accounts and debt of the federal government.
 - Issues government bonds and securities.
-

6. Credit Control:

- Uses quantitative and qualitative methods to control credit in the economy.
-

7. Supervision of Banks:

- Licenses, regulates, and audits banks to maintain public trust and stability.
-

8. Economic Data and Reports:

- Publishes inflation reports, monetary policy, economic outlook.
-



Conclusion:

A central bank is crucial for ensuring **monetary stability**, **banking regulation**, and **overall economic control** in a country.

ii. What is the Barter System? What are its problems? Also explain the attributes of Good Money.



Barter System:

A system of exchange where **goods and services are exchanged directly** without the use of money.



Example: A farmer giving wheat to a tailor in exchange for clothes.

✗ Problems of Barter System:

1. **Lack of Double Coincidence of Wants:**
 - Both parties must want what the other has.
2. **No Common Measure of Value:**
 - No standard unit to compare value of goods.
3. **Difficulty in Storing Wealth:**
 - Perishable goods can't be stored long-term.

4. **Indivisibility of Goods:**
 - Hard to divide items like cattle for small transactions.
 5. **Lack of Deferred Payments:**
 - No standard for borrowing or credit.
-

✓ Attributes of Good Money:

1. **Durability:**
 - Must last over time (metallic coins, paper notes).
 2. **Portability:**
 - Easy to carry and transport.
 3. **Divisibility:**
 - Can be broken into smaller units (e.g., 1 Rupee = 100 paisa).
 4. **Uniformity:**
 - Each unit must be the same (Rs. 100 = Rs. 100).
 5. **Acceptability:**
 - Universally accepted in a given country.
 6. **Stability of Value:**
 - Should not fluctuate too frequently.
 7. **Recognizability:**
 - Should be easily recognized and difficult to counterfeit.
-

Let me know if you want a **PDF version**, or help with other past papers (Accounting, Business Communication, Sociology, VB Programming etc.) in the same detailed format.

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Great — you're working on past paper questions for **Money and Banking (BBA-204)** under Punjab University. Here's a complete answer to the last set of questions you provided:

Short Answers

1. Money Market vs Capital Market

- **Money Market** deals with **short-term borrowing and lending**, typically less than one year. Instruments: T-bills, call money, commercial paper.
- **Capital Market** deals with **long-term investments** like shares, bonds, and debentures. Instruments: stocks, long-term bonds.

2. Monetary Policy

Monetary policy is the process by which the **central bank (State Bank of Pakistan)** controls

money supply, interest rates, and credit availability to achieve economic goals like price stability and growth. Tools include:

- Open market operations
- Discount rate
- Reserve requirements

3. Qualities of Good Money

- Durability
- Divisibility
- Portability
- Uniformity
- Limited supply
- Acceptability
- Stability in value

4. Index Number and its Applications

An **index number** is a statistical measure used to track changes in variables like prices or production over time.

Applications:

- Measure inflation (CPI)
- Compare cost of living
- Economic planning and policy decisions

5. Agency Functions of a Commercial Bank

- Payment of utility bills
- Purchase and sale of securities
- Acting as trustee or executor
- Collecting dividends, interest, or rents
- Income tax consultancy

6. Cash Reserve Ratio (CRR)

The percentage of total deposits that commercial banks must keep as **cash with the central bank**.

Higher CRR = Lower lending ability = Tighter monetary policy

Long Questions (3x10 = 30)

Q1: Define Paper Money. Explain in detail the demerits of Paper Money.

Paper Money is currency issued by the government or central bank that has **no intrinsic value** and is **not backed by physical commodities** (like gold). It derives value from legal tender status.

Demerits of Paper Money:

1. **Inflation Risk:** Over-issuance may lead to loss of value.
2. **No Intrinsic Value:** Only psychological and legal acceptability.
3. **Depreciation:** Can be easily damaged or torn.
4. **Over-Dependence on Government:** Misuse by governments can cause hyperinflation.
5. **Lack of Confidence:** In political/economic crisis, people may reject paper currency.

Example: Zimbabwe faced hyperinflation due to over-printing of money.

Q2: Define Commercial Banking. Explain the process of Credit Creation by Commercial Banks.

Commercial Banks are financial institutions that accept deposits and offer loans for profit. They serve the public and businesses.

Credit Creation: It's the process by which banks expand the money supply through **lending**.

Step-by-Step Process:

1. A bank receives deposits (e.g., Rs. 1,000).
2. Keeps a reserve (e.g., 20% = Rs. 200).
3. Lends out Rs. 800.
4. Borrower deposits Rs. 800 into another bank.
5. That bank keeps Rs. 160 (20%) and lends Rs. 640.
6. This continues, creating a **money multiplier effect**.

Formula:

Example: With 20% CRR and Rs. 1,000 deposit, total money created = Rs. 5,000

Q3: What are Negotiable Instruments? Differentiate between Promissory Note and Bill of Exchange.

Negotiable Instruments are written documents guaranteeing the payment of a specific amount of money either on demand or at a future date.

Types:

- Promissory Note
- Bill of Exchange
- Cheque

Promissory Note:

- Written promise by one party to pay another.
- Two parties: Maker and Payee.
- Liability is primary and unconditional.

Bill of Exchange:

- Written order from one party to another to pay a third party.
- Three parties: Drawer, Drawee, and Payee.
- Liability is conditional upon acceptance.

Basis	Promissory Note	Bill of Exchange
No. of Parties	2 (Maker & Payee)	3 (Drawer, Drawee, Payee)
Order or Promise	Promise to pay	Order to pay
Acceptance Required	No	Yes
Drawer	Debtor (Maker)	Creditor
